

Caterpillar Q4 2025 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$, the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the ONLY report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Caterpillar Inc. (CAT)
Report	Q4 2025
Release date	Thursday 29 January 2026, BEFORE the market open
Earnings call	8:30am ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	43 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. “We’ve had four now prime power orders of greater than a gigawatt... we’re seeing more deals, a little more mix into prime power like the one that we announced yesterday” (Joe Creed, CEO).

2. *“Really, really strong quarter from an order standpoint... strength across the board”* (Joe Creed, CEO).
3. *“It’s not a demand issue for us. It’s really going to be can we bring on supply faster”* (Joe Creed, CEO, on power generation capacity).
4. *“We outpaced the industry in CI... we are definitely a market leader in power and energy”* (Joe Creed, CEO).
5. *“The run rate should improve towards the second half of the year as we take actions to reduce our tariff exposure”* (Andrew Bonfield, CFO).
6. *“Part of that is for the billion-dollar plus increase in dealer inventory that we expect in the first quarter, which is a difference versus the prior year”* (Andrew Bonfield, CFO).

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.20

Rationale. Order commentary is genuinely strong and supply, not demand, is the constraint, but tariffs still weigh into the second half and a billion dollar dealer inventory build muddies the first quarter.

2 Directional signal

Signal: HOLD

Rationale. Strong tone offset by near-term inventory and tariff noise, with the AI angle already well known. HOLD.

3 Structured summary

- **What the source shows.** Gigawatt-scale prime power orders confirm the data centre demand is converting.
- **What the source cannot show.** No numbers, so the order strength cannot be sized against revenue or margin.
- **Expectations bar.** The power generation story is now widely held, raising the bar for a positive surprise.
- **Conviction.** Low conviction: bullish demand against real near-term working capital and tariff drags.

4 Evidence quotes

1. *“We’ve had four now prime power orders of greater than a gigawatt... we’re seeing more deals, a little more mix into prime power like the one that we announced yesterday”* (Joe Creed, CEO).
2. *“Really, really strong quarter from an order standpoint... strength across the board”* (Joe Creed, CEO).
3. *“It’s not a demand issue for us. It’s really going to be can we bring on supply faster”* (Joe Creed, CEO, on power generation capacity).

— SEALED —

Overnight move and call verification

CAT close, 28 January 2026 (prior trading day)	\$643.28
CAT open, 29 January 2026 (release day)	\$655.17
Overnight move	+1.85%

Call verification

- HOLD band test: $|+1.85\%| < 2.00\%$, inside the band, so HOLD territory.
- Sign test: The move is inside the band, so the correct directional call is **HOLD**.
- Score given vs. correct call: signal was **HOLD**, correct call **HOLD**, so **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+1.85%
D+1 close	+3.41%
D+3 close	+7.40%
D+5 close	+7.55%
D+10 close	+20.48%
D+20 close	+17.05%